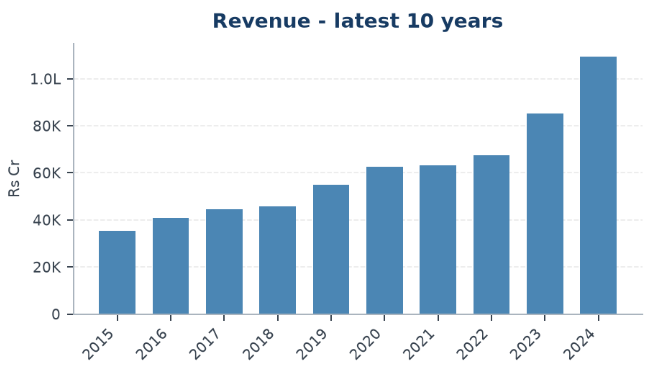
Axis Bank Ltd

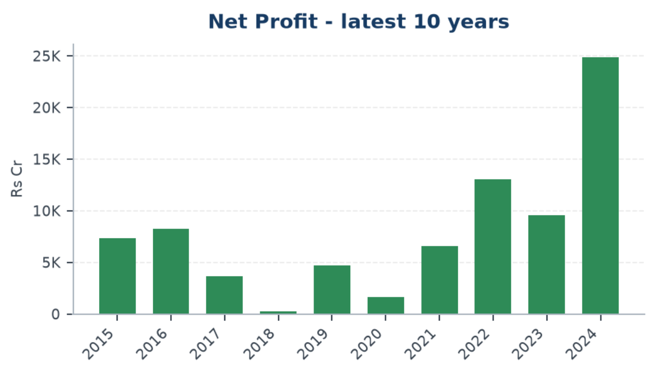
Financials | Private Banks

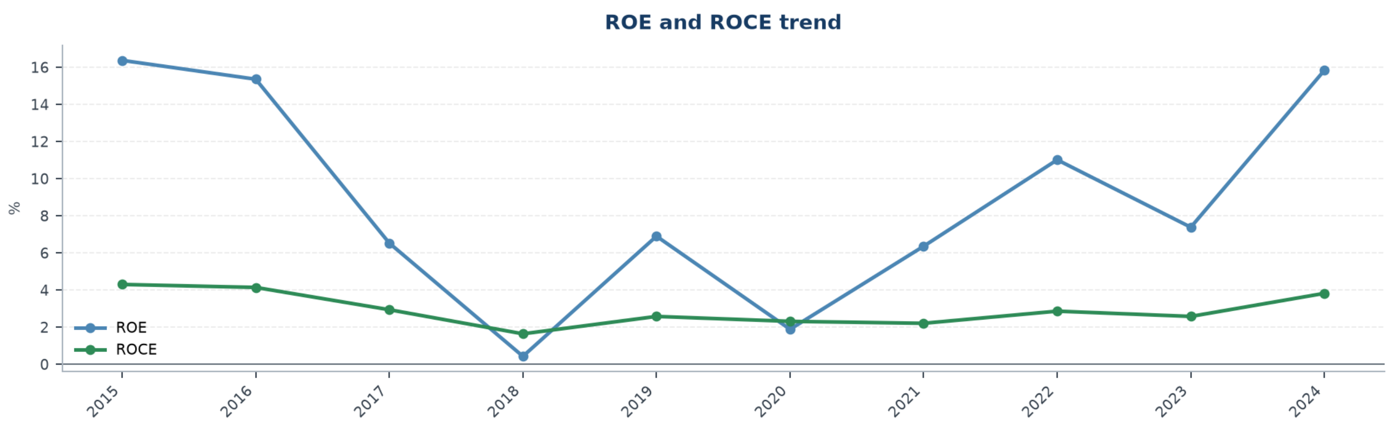
AXISBANK

Revenue CAGR	PAT CAGR	ROE
14.7%	**39.7%**	**15.8%**
5-year	5-year	latest year

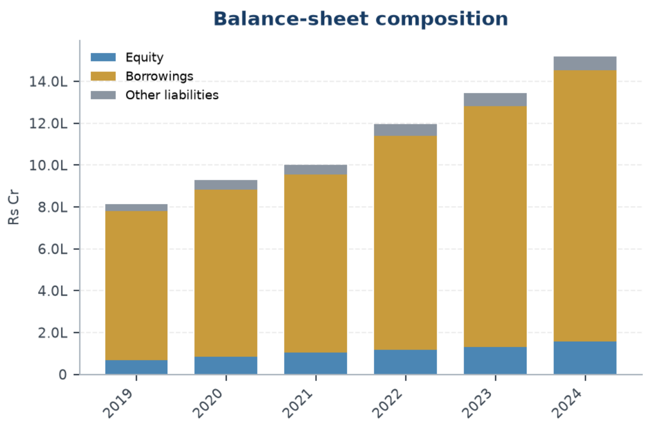
ROCE	Debt-to-Equity	CFO Quality
3.8%	**8.25x**	**High Quality**
latest year	latest year	5Y score 4.97x

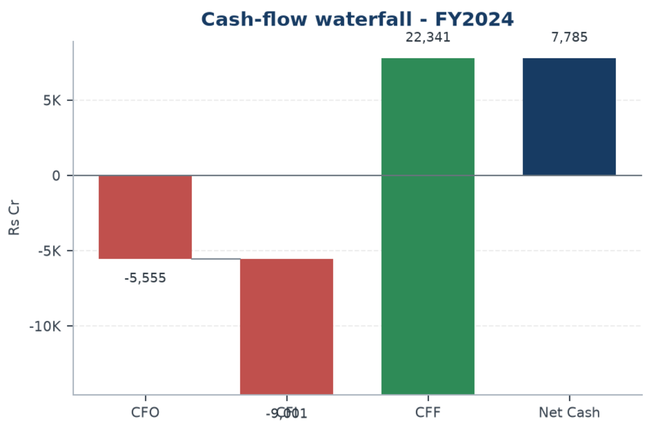






LATEST CAPITAL-ALLOCATION PATTERN	**Growth Funded by Debt**





Pros

1. **1.** Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (93% confidence)
2. **2.** Revenue growing slower than profits shows improving operating leverage and scale benefits (93% confidence)
3. **3.** Net profit compounding at above 20% over 5 years creates significant shareholder value (93% confidence)
4. **4.** Operating profit margin above 25% indicates strong pricing power and cost discipline (86% confidence)

Cons

1. **1.** Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (85% confidence)
2. **2.** Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (78% confidence)

Figures are sourced from the project database and generated analytics. Amounts are in Rs crore unless noted.